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Case 1:20-cv-03590-JEB Document 384 Filed ...

Case Background

- The allegation made in this case is unlawful monopoly maintenance under Section 2 of the Sherman Act, specifically challenging the acquisitions of Instagram and WhatsApp. (Page 13)
- The company against which the allegations are made is Meta Platforms, Inc. (formerly known as Facebook, Inc.). (Page 13)
- The year of case initiation was 2020, with an amended complaint filed in August 2021. (Page 13)
- The violation involves the assertion that Meta possesses monopoly power in the relevant market and has willfully maintained that power through its acquisitions of Instagram and WhatsApp, which are viewed as anticompetitive conduct. (Page 16)
- The Federal Trade Commission (FTC) argues that these acquisitions were intended to eliminate competition and prevent potential threats from nascent firms, thereby stifling innovation and consumer choice. (Page 16)
- The FTC seeks remedies including an injunction against such conduct in the future and divestiture of the Instagram and WhatsApp acquisitions. (Page 13)

Case Progression

- **Track Identification:** The case is on TRACK B, civil conduct under the DOJ, specifically challenging Meta's actions under Sherman Act §2 and Clayton Act provisions. This is evident from the legal framework discussed, which focuses on antitrust violations related to monopolistic practices (pages 77–81).
- **Initial Complaint:** The FTC initiated the case, asserting that Meta has engaged in anticompetitive conduct that violates antitrust laws. The burden of proof lies with the FTC to demonstrate that Meta possesses monopoly power in the relevant market (page 17).
- **Market Definition:** The relevant market is defined as the United States, with a focus on the product market that Meta is claimed to dominate. The court emphasizes that defining this market is complex and hinges on the characteristics of the industry involved (page 18).
- **Monopoly Power Assessment:** The court evaluates whether the FTC has provided sufficient evidence of Meta's monopoly power, which can be inferred through circumstantial evidence such as market share and barriers to entry. The burden is on the FTC to establish these elements (page 17).
- **Procompetitive Justifications:** Meta must demonstrate that any claimed efficiencies from its conduct are merger-specific and enhance consumer welfare. The court notes that the burden of proving these justifications rests with Meta, as the FTC asserts (pages 79–81).

- **Trial and Findings:** The case is set to proceed to trial, where the court will assess the evidence presented by both parties regarding monopoly power and the validity of procompetitive justifications. The court has indicated that it will apply a rule-of-reason analysis to evaluate the anticompetitive effects versus any claimed efficiencies (page 79).

Market Definition

- The relevant geographic market agreed upon by the parties is the United States. (Page 18)
- Defining the relevant product market is complex and is central to the case, as it determines the market Meta is claimed to dominate. (Page 18)
- A relevant product market includes all products that are reasonably interchangeable by consumers for the same purposes, which is a key aspect of antitrust analysis. (Page 20)
- The determination of whether products are "reasonably interchangeable" involves assessing functional interchangeability, meaning whether buyers view similar products as substitutes. (Page 20)
- The analysis may also include a quantitative approach, such as expert testimony and the hypothetical monopolist test (HMT), which evaluates if a profit-maximizing firm would raise prices for a group of products. (Page 20)
- Market definition is guided by the "narrowest market" principle, meaning the relevant market must be defined narrowly to exclude products that do not significantly compete. (Page 21)
- The economic and commercial realities of the social-media landscape, particularly the absence of prices on the user side, must be considered in defining the relevant product market. (Page 21)

Legal & Economic Tests

- **Hypothetical Monopolist Test (HMT):** This economic test assesses whether a hypothetical profit-maximizing firm, as the sole seller of a group of products, would implement a small but significant non-transitory increase in price (SSNIP) or worsen terms for at least one product in the group. The purpose is to determine the boundaries of the relevant product market by evaluating if consumers would switch to alternatives in response to price increases. This test is crucial for defining market power and is referenced on page 20.
- **Market Definition:** This legal test involves identifying the relevant product and geographic markets in which competition is assessed. It requires determining the products that are reasonably interchangeable by consumers for the same purposes and the geographic area where sellers compete for buyers. In this case, the geographic market is agreed to be the United States, while the product market definition is contested and central to the case's outcome. This process is discussed on page 18.
- **Procompetitive Justifications:** This legal framework evaluates whether the merging parties can demonstrate that their merger will lead to efficiencies that enhance consumer welfare. The burden is on the defendant to show that these efficiencies are merger-specific and

could not be achieved independently by either company. This principle is critical in assessing the legality of the merger under the Sherman Act and is elaborated on pages 79 and 81.

Conclusion

- The court evaluated the legal framework for assessing mergers under Section 2 of the Sherman Act, determining that the burden of proving merger-specific efficiencies lies with the defendant, Meta (page 81).
- The court found that the FTC's assertion that a monopolist's acquisition of an actual or nascent rival is inherently anticompetitive was a valid argument, regardless of evidence showing price or output effects (page 53).
- The court noted that the presumption of illegality applies to acquisitions of both nascent and actual competitors, emphasizing that such mergers can maintain monopoly power by stifling future competition (page 58).
- The FTC was deemed to have provided sufficient evidence to support a finding of monopoly power, which could be established through either direct proof of supracompetitive prices or circumstantial evidence of market dominance and barriers to entry (page 17).
- The court indicated that the procompetitive justifications presented by Meta were not persuasive enough to counter the FTC's claims, suggesting that the anticompetitive effects outweighed any potential benefits (page 58).
- The court's analysis included a detailed examination of the two acquisitions in question, considering the implications for competition and market dynamics (page 53).
- Ultimately, the court concluded that the case would proceed to trial, as most of Meta's asserted justifications were found to survive initial scrutiny, except for the last one (page 77).

Brief of the United States as Amicus Curiae Supporting ...

Case Background

- The allegation made in this case is that Facebook engaged in monopolization of the personal social-networking services market through a broad course of anticompetitive conduct. (Page 2)
- The company against which the allegations are made is Facebook. (Page 2)
- The year of case initiation is 2020, as indicated by the reference to the FTC's complaint. (Page 4)
- The violation involves Facebook allegedly using anticompetitive practices to eliminate competition by welcoming app developers to its platform but later conditioning access on limiting competition with Facebook. Additionally, Facebook is accused of acquiring emerging rivals like Instagram and WhatsApp to extinguish competitive threats. (Page 5)

- The conduct is characterized by a strategy to "buy or bury" competitors, creating a "moat" around its platform to protect its monopoly, which involved both restrictive conditions on app developers and acquisitions of potential rivals. (Page 5)

Case Progression

- **Initiation:** The case was initiated by forty-six States, the District of Columbia, and Guam, alleging that Facebook monopolized the personal social-networking services market through a broad course of anticompetitive conduct. The deciding body at this stage is the U.S. District Court, as the complaint was filed there (page 2, paragraph 1).
- **Investigation:** Following the initiation, the case likely underwent an investigation phase, although the specific details of this investigation are not covered in the record provided. The relevant body for this stage would typically be the DOJ or FTC, depending on the nature of the claims.
- **Complaint Filed:** The complaint was filed in the U.S. District Court, where the plaintiffs alleged that Facebook engaged in anticompetitive conduct that harmed competition and consumers. The burden at this stage is on the plaintiffs to establish a plausible claim under the Sherman Act (page 4, paragraph 1).
- **Rule 12(b)(6) Motion:** The district court would consider any motions to dismiss under Rule 12(b)(6), assessing whether the plaintiffs have sufficiently stated a claim. The burden is on the defendants to show that the complaint fails to state a claim upon which relief can be granted (page 4, paragraph 1).
- **Discovery and Expert Reports:** Following the motion phase, the case would enter discovery, where both parties gather evidence, including expert reports. The burden here is on both parties to present evidence supporting their claims and defenses (page 4, paragraph 1).
- **Bench Trial on Liability:** If the case proceeds to trial, the district judge will conduct a bench trial to determine liability based on the evidence presented. The plaintiffs must prove that Facebook's conduct had an anticompetitive effect, following the burden-shifting framework established in prior cases (page 7, paragraph 1).

Market Definition

- The market in this case involved the competitive dynamics of social networking platforms, particularly focusing on Facebook's interactions with app developers and competitors. (Page 5)
- The process to define the market included evaluating Facebook's conduct as a whole rather than disaggregating it into parts, which was a significant error made by the district court. (Page 5)
- Techniques used to assess anticompetitive conduct included examining Facebook's welcoming of app developers and subsequent conditioning of access to its platform based on limiting competition. (Page 5)

- The court's analysis involved looking at Facebook's acquisitions of emerging rivals like Instagram and WhatsApp, which were alleged to extinguish nascent competitive threats. (Page 5)
- The evaluation of the monopolization claim required a flexible, fact-specific burden-shifting approach, where the plaintiff first needed to show anticompetitive effects. (Page 7)
- The court's rigid checklist for unilateral refusal-to-deal liability was criticized for not accounting for the market realities of Facebook's platform, which relies on developer and user participation. (Page 5)
- Discovery and deliberation were deemed necessary to fully understand the allegations and their intersection with market competition dynamics. (Page 5)

Legal & Economic Tests

- **Monopoly Power and Anticompetitive Conduct Test:** This test requires the plaintiff to demonstrate that the defendant possesses "monopoly power" and has willfully acquired or maintained that power through exclusionary or anticompetitive conduct. The plaintiff must first show that the conduct has an "anticompetitive effect," harming the competitive process and consumers. If successful, the burden shifts to the defendant to provide a "procompetitive justification" for their conduct. This process emphasizes a flexible, fact-specific analysis to determine the nature of the conduct and its impact on competition. (Page 7)
- **Predatory Refusal to Deal Test:** In assessing whether a refusal to deal is predatory, the court considers whether the refusal harms competition. Relevant evidence may include the defendant's specific intent to engage in predation or whether the conduct was used in a threatening manner. The plaintiff must show that the refusal is predatory and that it harms competition, while the defendant must establish valid business reasons for the refusal. This test requires careful consideration of both procompetitive benefits and anticompetitive harms. (Page 23)
- **Three-Part Test for Liability for Unlawful Refusals to Deal:** This test involves evaluating whether the defendant's refusal to deal satisfies a specific three-part criterion for liability. The court assesses whether the refusal was prompted by anticompetitive motives and whether valid business justifications exist. The analysis must account for the market realities and the potential impact on competition, ensuring that the refusal does not merely serve the defendant's interests at the expense of competitive dynamics. (Page 22)

Conclusion

- The district court misapplied Section 2 of the Sherman Act by failing to analyze the plaintiffs' monopolization claim as a whole, mischaracterizing the challenge to Facebook's anticompetitive conditions as unilateral refusals to deal, and creating a rigid "three-part test" for liability (Page 2).

- The court erroneously ruled out the possibility of injunctive relief without factual development regarding the likelihood of recurrence or ongoing effects on the marketplace (Page 2).
- The plaintiffs, consisting of forty-six States, the District of Columbia, and Guam, alleged that Facebook engaged in a broad anticompetitive course of conduct to monopolize the personal social-networking services market (Page 2).
- The court dismissed the acquisitions claims for laches, indicating a procedural barrier to those claims, while also dividing the FTC's complaint into "acquisitions" and "platform" claims (Page 4).
- The antitrust laws are noted for their flexibility in addressing new technologies and market realities, which is crucial in evaluating monopolization claims in the evolving digital economy (Page 4).
- The court's test recognized the possibility of driving rivals out of the market but improperly disregarded other forms of predation, such as impeding entry or disciplining rivals (Page 22).
- The analysis of whether valid business reasons exist for a refusal to deal must be substantiated by the defendant, rather than merely asserted, as established in relevant case law (Page 22).

What other questions do you have?